Prepare 50% Faster

Study Notes

Basics of Accounting

Basics of Accounting

Introduction to Accounting

Accounting is one of the key processes that every business needs to adopt. It is a procedure adopted for recording of all financial transactions affecting or related to a business. The process in accounting includes recording, classifying, summarizing, analyzing, interpreting and reporting these transactions to oversight agencies, regulators and tax collection entities. These created reports play an invaluable role in helping management make learnt and well-informed business decisions.

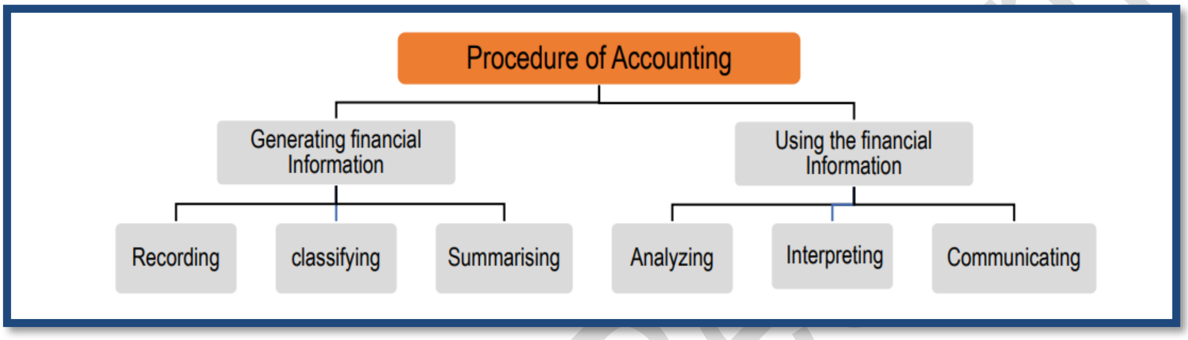


Figure 1: Procedure of accounting

The accounting process consists of the following steps:

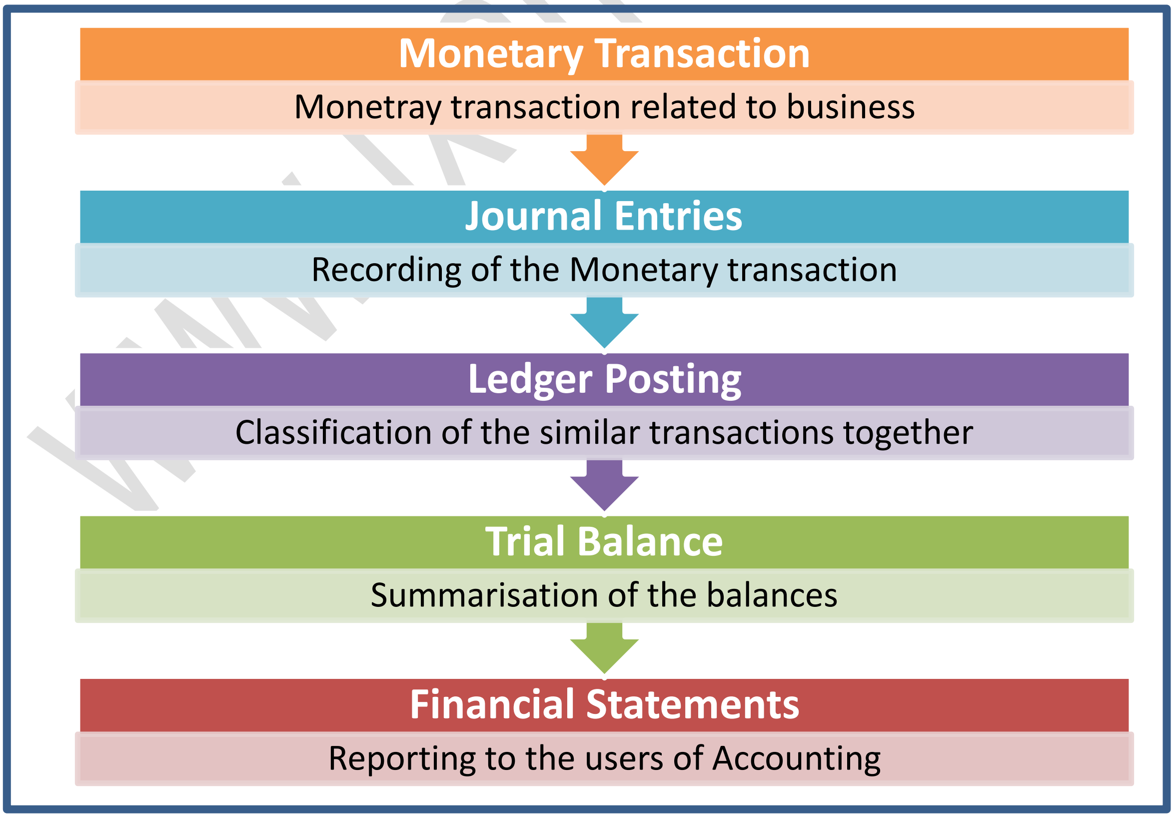


Figure 2: Accounting process

1. The transaction (exchange) has to be monetary in nature to be recorded as the Accounting Information
2. The monetary transaction will be recorded by passing a journal entry
3. All the similar nature items will be clubbed and clubbing of one type of item will be under an account known as a Ledger Account
4. At the end of the accounting year (normally 12 months), the Closing Balances of the Ledger Accounts are taken to Trial Balance.
5. From the Trial Balance, Financial Statements (giving summarized information of the performance (Nominal Account Items) and Position- Assets and Liabilities (Real and Personal Account Items)) are Prepared.

Objectives of Accounting

The objectives of accounting can briefly be specified as follows:

1. To record day-to-day transactions.
2. To keep various Ledger Accounts and maintain various other Journals to find out the accurate amounts of incomes and expenditure or gain or losses or receivables and payables.
3. To provide information regarding Purchases and Sales, both Cash and Credit.
4. To be able to know the net profit or net loss or surplus or deficit for any particular period.
5. To find out the total capital, assets and labilities on a particular date.
6. To check any misappropriations or frauds of money.
7. To detect the various faults and to rectify them through entries in the journal.
8. To settle the arithmetical exactness of the books of accounts.
9. To support the management by providing them accounting ratios, reports and related data.
10. To help the organization in formulating policies for monitoring of cost, preparation of quotation and make them competitive.

Characteristics of Accounting information

The demand for accounting information by investors, lenders, creditors, etc., creates fundamental qualitative characteristics that are desirable in accounting information. There are six qualitative characteristics of accounting information:

- **Relevance –** how helpful the information is for financial decision-making processes
- **Representational faithfulness or Reliability** - the extent to which information accurately reflects a company's financials
- **Verifiability** - the extent to which information is reproducible given the same data and assumptions
- **Timeliness** - how quickly information is available to users of accounting information
- **Understandability** - the degree to which information is easily understood
- **Comparability** - the degree to which accounting standards and policies are consistently applied from one period to another.

Branches of Accounting

In the present scenario Accounting is not confide to only record-keeping but has spread its twigs to most of the commercial activities such as

- **Book-Keeping**: Book-keeping is a method of recording and organizing complete business transactions that happened in the course of doing the business. Book-keeping is a very important part of accounting and mainly concentrates on day-to-day financial transaction of the business and its records. It covers all financial transactions such as revenue earned through sales, payment of taxes, interest received, payroll and other operational expenditures, loans, savings investments etc. are recorded in books of accounts.

- **Accounting or Financial Accounting:** deals with preparing Trial Balance and thus checking the arithmetical accuracy of the books and records, it also involves preparing the Revenue statements of Profit or Loss Accounts, and preparing the statement of Affairs or Balance Sheets. It is a record of all financial transactions so that the profit earned or loss sustained by the business during an accounting period can be worked out, the financial position of the business as at the end of the accounting period can be ascertained, and the financial information required by the management and other interested parties can be provided.

- **Cost Accounting**: Cost accounting aims to know the company's total cost of production by evaluating the variable costs of each step of production as well as fixed costs, such as a lease expense. This helps the company to fix the prices. It also helps in controlling the costs and providing necessary costing information to management for decision-making. It keeps the records of daily stocks in hand, its distribution and receipts, payment of wages, overhead charges, sale-price of the products etc.

- **Management Accounting**: Involves all those services through which the accounting department can support the top management and other branches of the organization towards formation of policy, control of execution and appreciation of effectiveness. By furnishing regular reports regarding various necessary information required daily by the management

- **Auditing:** Is an examination or inspection of a process or quality system, to confirm compliance to requirements. This checks Whether the Books of Accounting have been maintained correctly or not. This is essential for the advantage of the share-holders as well as for the Government who collect taxes on the basis of the Published Accounts.

Basic accounting terms - definitions

- **Transaction** - An event involving some value between two or more entities. It can be a purchase of goods, receipt of money, payment to a creditor, incurring expenses, etc. It can be a cash transaction or a credit transaction.

- **Assets** - Assets are economic resources that an enterprise owns, and which can be usefully expressed in monetary terms. Assets are items of value used by the business in its operations. Assets can be broadly classified into two types: current and Non-current.

- **Liabilities** - Liabilities are obligations or debts that an enterprise has to pay at some time in the future i.e. the money that the enterprise owes. They represent creditors' claims on the firm's assets. Liabilities are classified as current and non-current.

- **Capital** - Capital is the amount invested by the owner in the firm. It may be brought in the form of cash or assets by the owner. For the business entity, capital is an obligation and a claim on the assets of business. It is, therefore, shown as capital on the liabilities side of the balance sheet.

- **Sales and Revenue/income** - Sales are total revenues from goods or services sold or provided to customers. Sales may be cash sales or credit sales. Revenues are the amounts of the business earned by selling its products or providing services to customers, called sales revenue. It may also include other items of revenue like commission, interest, dividends, royalties, rent received, etc. Revenue is also called income.

- **Expenses** - Costs incurred by a business in the process of earning revenue are known as expenses. Generally, expenses are measured by the cost of assets consumed or services used during an accounting period. The usual items of expenses are depreciation, rent, wages, salaries, interest, cost of heater, light and water, telephone, etc. These are referred as revenue expenses, the benefit of which is exhausted within a year.
- **Profit or loss** - The excess of revenues of a period over its related expenses during an accounting year is profit. Profit increases the wealth of the owners. When the excess of expenses of a period over its related revenues exists, it is termed as loss. It decreases the owner's equity.
  Note - A profit that arises from events or transactions which are incidental to business such as sale of fixed assets, winning a court case, appreciation in the value of an asset, is known as gain.

- **Drawings** - Withdrawal of money and/or goods by the owner from the business for personal use is known as drawings.
  Note – drawings are not allowed in case of a company; while in partnership and sole proprietorships, drawings can be made by the partners/owner.

- **Stock** - Stock or inventory, refers to the amount of raw material, goods, spares and other material lying unused/unsold. Opening stock (beginning inventory) is the amount of stock at the beginning of the accounting period while closing stock (ending inventory) is the stock at the end of an accounting period.

- **Debtors** - Debtors are persons and/or other entities who owe to an enterprise an amount for buying goods and services on credit. The total amount standing against such persons and/or entities on the closing date, is shown in the balance sheet as sundry debtors or accounts receivables on the asset side.

- **Creditors** - Creditors are persons and/or other entities who have to be paid by an enterprise an amount for providing the enterprise goods and services on credit. The total amount standing to the favour of such persons and/or entities on the closing date, is shown in the Balance Sheet as sundry creditors on the liabilities side.

Accounting Concepts & Conventions

Accounting concepts relates to the basic conditions or assumptions with which the accounts will be prepared. These form the basis on which the science of accounting is based. Accounting conventions include the customs and traditions that assist the accountants in preparing the accounting statements. Accounting concepts have been established by professional organizations and are standard principles, while accounting conventions are generally accepted practices that evolve and change over time. The most important concepts and conventions include

Concepts	Conventions
•Business entity	•Matching
•Money measurement	•Consistency
•Going concern	•Full disclosure
•Accouting Period	•Materiality
•Cost	•Conservatism
•Dual aspect	•Revenue recognition/Realisation
•Historical records	•Objectivity

Let's discuss some of the important concepts & conventions:

- **Business Entity Concept -** Financial accounting is based on the premise that the **transactions** and balances **of a business** entity are to be **accounted for separately from its owners**. The **business** entity is therefore considered to be **distinct from its owners** for the purpose of accounting. This leads to the fact that **shareholders are also outsider for the company** and hence **appear on the liabilities side** of the balance sheet.
- **Money Measurement Concept -** The transactions which are recorded in the books of accounts must be measured in terms of money. If something cannot be expressed in money terms, then it can't be recorded in the books of accounts.
- **Going Concern concept -** Financial statements are prepared assuming the company will **continue to operate in the foreseeable future** i.e., it is perpetual in nature.
- **Accrual Accounting Concept -** According to the Accruals Concept of accounting, **income and expense are recognized in the accounting periods to which they relate, rather than on cash basis**. This essentially means that income must be recorded in the accounting period in which it is earned. Therefore, accrued income must be recognized in the accounting period in which it arises rather than in the subsequent period in which it will be received. Expenses, on the other hand, must be recorded in the accounting period in which they are incurred. Therefore, accrued

expense must be recognized in the accounting period in which it occurs rather than in the following period in which it will be paid.

- **Accounting Period Concept -** The life of the business enterprise is long but the investors or other users of accounting, may require assessing the performance of the business at shorter regular intervals. Therefore, the life of the business is split into smaller intervals and each such period is known as an Accounting Period. This is also called the concept of definite accounting period.
- **Consistency -** In accounting, the concept of consistency refers to the **application of the same accounting principles, methods, and practices over time**. It emphasizes the need for **comparability and uniformity** in financial reporting, allowing users of financial information to make **meaningful comparisons and analyze trends**.
- **Prudence or conservatism** - Prudence relates to fair judgment in reporting the financials. What this means is that the care should be taken that **assets and income are not overstated while liabilities and losses are not understated**. One should follow a conservative approach while recording financial statements.
- **Matching Concept -** The process of ascertaining the amount of profit earned or the loss incurred during a particular period involves deduction of related expenses from the revenue earned during that period. This concept states that the costs in a particular accounting year should be taken as expenses in such a manner that it relates to the associated revenues of that accounting year. For example, when the business purchases a machinery with a useful life of 5 years, then the entire cash outflow may occur in the first year only, but the cost of the machinery is split among 5 years (useful life of the asset), since the asset is generating revenues for the 5 years. In this case, the cost of the machinery will be recognized as an Asset and only the depreciation per year is taken as an Expense.

Systems of Accounting

The systems of recording transactions in the book of accounts are generally classified into two types:

- **Double entry system** is based on the principle of "Dual Aspect" which states that every transaction has two effects, viz. receiving of a benefit and giving of a benefit. Each transaction, therefore, involves two or more accounts and is recorded at different places in the ledger. The basic principle followed is that every debit must have a corresponding credit.
  Double entry system is a complete system as both the aspects of a transaction are recorded in the book of accounts. The system is accurate and the arithmetic inaccuracies in records can mostly be checked by preparing the trial balance. The system of double entry can be implemented by big as well as small organizations.
- **Single entry system** is not a complete system of maintaining records of financial transactions. It does not record two-fold effect of each and every transaction. Instead of maintaining all the accounts, only personal accounts and cash book are maintained under this system. In fact, this is not a system but a lack of system as no uniformity is maintained in the recording of transactions. For some transactions, only one aspect is recorded, for others, both the aspects are recorded. The accounts maintained under

this system are incomplete and unsystematic and therefore, not reliable. The system is, however, followed by small business firms as it is very simple and flexible.

From the point of view the timing of recognition of revenue and costs, there can be two broad approaches to accounting.

- **Cash basis:** Entries in the book of accounts are made when cash is received or paid and not when the receipt or payment becomes due. For example, if office rent for the month of March 2022, is paid in April 2022, it would be recorded in the book of account only in April 2022. This system is incompatible with the matching principle, which states that the revenue of a period is matched with the cost of the same period.
- **Accrual basis:** Under the accrual basis, the effects of transactions and other events are recognized on mercantile basis i.e., Revenues and costs are recognized in the period in which they occur rather when they are paid. A distinction is made between the receipt of cash and the right to receive cash and payment of cash and legal obligation to pay cash. This is a more appropriate basis for the calculation of profits as expenses are matched against revenue earned in relation thereto.

Note - Accounting is to be done on dual entry system using the accrual basis (unless specifically done otherwise).

Accounting Equation

A Balance Sheet derives its name from the fact that a company's financial structure always balances accordingly to the following equation, known as the accounting equation:

Assets = Liabilities + Shareholders' Equity

The left-hand side of the equation represents the assets or the things that a company owns and which have value. The right-hand side of the equation represents the sources of funds used to fund the assets of the company. Assets of an entity may be financed either by external borrowing (i.e., Liabilities) or from internal sources of finance such as share capital and retained profits (i.e., Equity). Therefore, assets of an entity will always equal to the sum of its liabilities and equity.

This means, in effect any transaction should affect both sides of the equation or balances itself on one side only. This attempt to record both effects of a transaction on the financial statement, to keep it in balance, is known as the double-entry concept or the duality principle. The two effects of an accounting entry are known as Debit (Dr) and Credit (Cr).

Accounting system is based on the principal that for every Debit entry, there will always be an equal Credit entry.

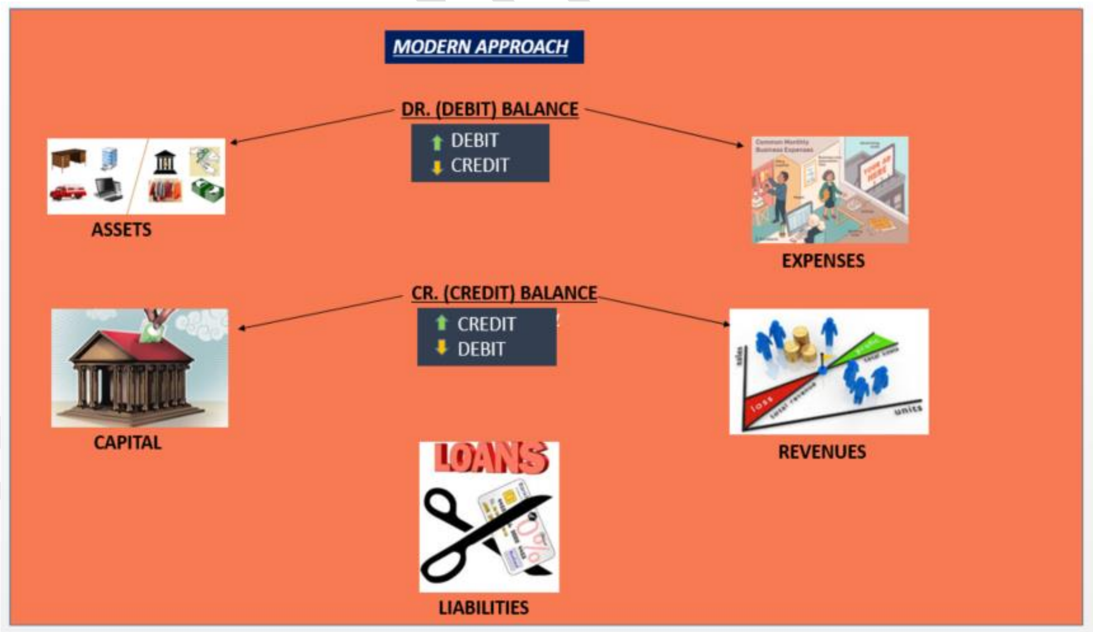
Any increase in expense (Dr) will be offset by a decrease in assets (Cr) or increase in liability or equity (Cr) and vice-versa, thereby maintaining equilibrium in the accounting equation.

Accounting Approach

There are 2 approaches to learn the entries. Use of any of the approach will give the same accounting entry.

1. **Modern Approach:**
   The modern approach uses the accounting equation to understand the impact on the 5 accounts for accounting entries. It is a simpler way to understand for first time users of accounting basics and financial statements.
   The debit and credit entries are done based on the impact on the f accounts – namely, assets, liabilities, capital, incomes and expenses as follows:

Type of account	Examples	Rule
Asset	Cash, fixed assets, land, investments	Debit – increase in asset Credit – decrease in asset
Liability	Loan, Debentures, Creditors, provisions	Debit – decrease in liability Credit – increase in liability
Capital	Equity Capital, preference share capital, reserves and surplus	Debit – decrease in capital Credit – increase in capital
Expenses	Salary, marketing expenses, operating expenses, interest paid, loss on sales of asset	Debit – increase in expense Credit – decrease in expense
Revenues/Income/	Sales, commission earned, interest earned, profit on sale of asset	Debit – decrease in income Credit – increase in income



11. Figure 3: Modern approach to accounting entries

2. Traditional Approach:

The Traditional approach is used to teach accounting following the three golden rules of entries. Under this approach the accounts are classified into any of the three following types:

Type of Account	Meaning	Golden rule of entry
Personal account	An account that relates natural person (like debtors and creditors, employees, etc.) or artificial person who have separate legal identity (like companies, banks, etc.).	Debit the receiver, Credit the giver
Real Account	Accounts that reflect transactions related to the liabilities and assets of a company	Debit what comes into the business, Credit what goes out of the business
Nominal Account	An account containing the transactions of a business, namely – expenses, incomes, profits and losses	Debit all expenses and losses, Credit all incomes and gains.

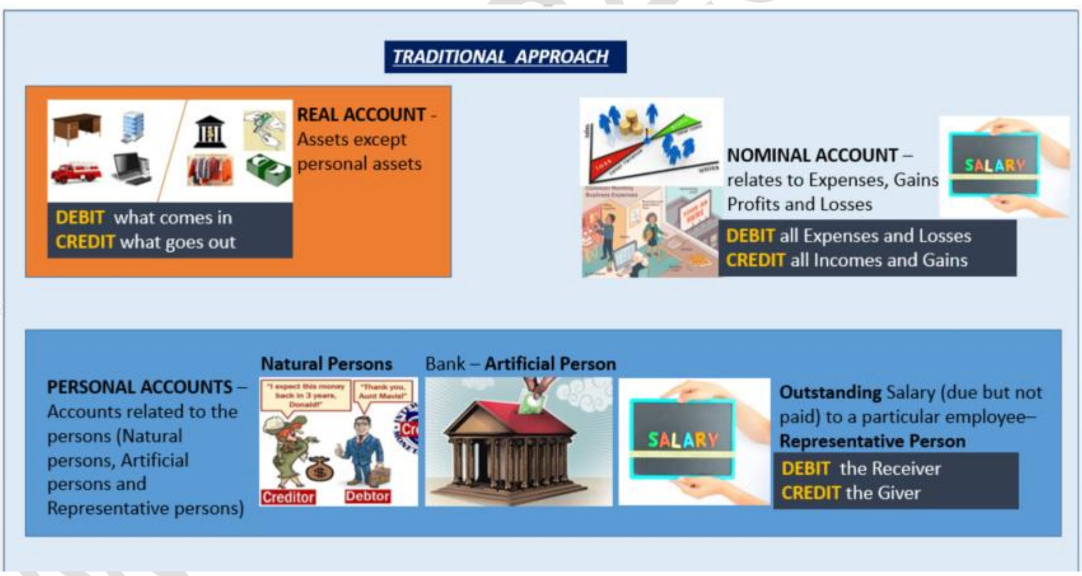


Figure 4: Traditional approach to accounting entries